Illustration 8

Calculate the value of goodwill at 5 years purchase of super profit from the following information:

(a) Capital employed: ₹ 1,20,000

(b) Normal rate of profit: 20%

(c) Net profit for 5 years:

2014: ₹ 30,000; 2015: ₹ 32,000; 2016: ₹ 35,000; 2017: ₹ 37,000 and 2018: ₹ 40,000

(d) Fair remuneration to the partners ₹ 2,800 per annum.

Solution

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$\text{Average profit} = \frac{30,000 + 32,000 + 35,000 + 37,000 + 40,000}{5}$$

$$\text{Average profit} = \frac{1,74,000}{5} = ₹\ 34,800$$

Particulars	₹
Average profit before fair remuneration to the partners	34,800
Less: Fair remuneration to the partners	2,800
Average profit	32,000

Normal profit = Capital employed × Normal rate of return
= 1,20,000 × 20%
= ₹ 24,000

Super profit = Average profit – Normal profit
= 32,000 – 24,000
= ₹ 8,000

Goodwill = Super profit × Number of years of purchase
= 8,000 × 5
= ₹ 40,000

(b) Annuity method

Under this method, value of goodwill is calculated by multiplying the super profit with the present value of annuity.

Goodwill = Super profit × Present value annuity factor

Present value annuity factor is the present value of annuity of rupee one at a given time. It can be found out from annuity table or by using formula.

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